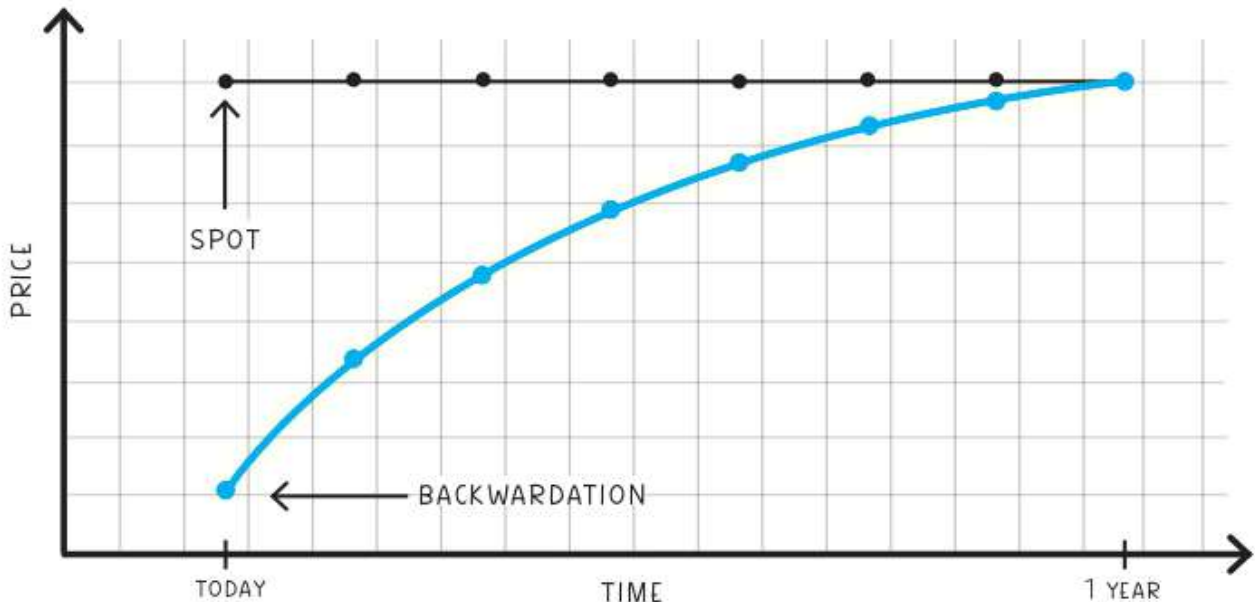


BACKWARDATION

If the **Futures Price < Spot Price**, it is said to be a Backwardation market.



There is a difference between spot price and futures price due to the implied interest rates. When you buy a derivative contract, you only invest 15-20% as margins for the exposure. However, to buy from spot market, you will have to invest 100% of the exposure. So, the 80-85% cash that you have left when investing with Futures will earn some returns. The difference between the rates is to remove impact of such interest.

